

Xero Limited

Cloud accounting ledger becoming a small-business payments and AI platform

XRO : ASX | Application Software / SMB Fintech

1 EXECUTIVE SUMMARY

Market cap: A\$11.1-13.1bn (~US\$7.3-8.6bn); sources diverge on date	Share price: ~A\$65-74 (July 2026); -61% to -64% over 52 weeks
Revenue FY26 (to 31 Mar 26): NZ\$2,753m, +31% reported / +28% constant currency	Organic revenue growth: +21% reported / +19% cc (ex-Melio)
Gross margin / Adj. EBITDA margin: 83.9% (-5.1pp YoY) / ~27.5%	Adjusted EBITDA / Free cash flow: NZ\$757.4m (+18%) / NZ\$554.0m (20.1% margin)
Statutory NPAT: NZ\$167.4m (from NZ\$227.8m); adjusted NPATA NZ\$213.7m	FY27 guidance: Revenue NZ\$3,620-3,730m; Adj. EBITDA NZ\$860-920m
Share count: 170.6m ordinary shares (+13.7% YoY on Melio funding)	Net debt: NZ\$383.4m (from net cash NZ\$682.9m a year earlier)
Customers / ARPC: 4.92m (+506k) / NZ\$55.44 per month (+23%)	HQ / Reporting currency: Wellington, New Zealand / NZD; ASX-listed, ASX-quoted in AUD

Xero sits at the ledger layer of the small-business financial stack. It is not a bank, not a payment processor and not a tax authority, but it is the system of record that sits between all three: bank transaction data flows in through direct feeds, is classified and reconciled against invoices and bills, and flows out as statutory filings (payroll to tax authorities, VAT and GST returns, annual accounts) and as payment instructions. That position — downstream of the banks, upstream of the accountant and the regulator — is the whole business. Everything Xero has added since (payroll, bill payment, analytics, agentic artificial intelligence) is monetisation of that position, not a new business.

The core thesis is a de-rating that has run well ahead of the operating result. Xero has compounded revenue at roughly 20% organically with 83-89% gross margins, monthly recurring revenue churn of 1.14% and a Rule of 40 score of 48.5%, yet the equity has lost roughly 62% of its value from the June 2025 high of A\$196.52 — a de-rating driven by a global repricing of application software on artificial-intelligence disruption fears, not by a break in Xero's numbers. The offsetting concern is real and not merely sentiment: Xero has simultaneously taken on integration risk (the US\$2.5bn Melio acquisition), issued 13.7% more shares at A\$176 against a A\$70 market price, moved from net cash to net debt, diluted gross margin by 5.1 percentage points, and lost the CEO's entire direct shareholding — all in one year. This report treats Xero as a quality asset undergoing a genuine and unresolved test of execution, where the disagreement between a ~58-68x forward earnings multiple and a ~17x price-to-free-cash-flow multiple is the whole argument.

Note on currency: Xero reports in New Zealand dollars (NZD) but is quoted on the Australian Securities Exchange (ASX) in Australian dollars (AUD). Operating figures in this report are NZD unless marked; market and valuation figures are AUD or USD as marked. Data aggregators frequently convert Xero's income statement into AUD, which is the main source of apparent discrepancy between the company's reported revenue of NZ\$2,753m and screen figures near A\$2.3bn.

2 TECHNOLOGY DEEP-DIVE

ELI5 — What Xero actually is

Imagine a shoebox. Every time money moves in or out of a small business, a piece of paper goes into the shoebox: a bank statement line, a supplier invoice, a receipt, a payslip. Once a year somebody has to empty the shoebox, match every bank line to a piece of paper, and turn the pile into a set of accounts the tax office will accept. Xero replaces the shoebox with a live database that fills itself. The bank sends the transaction lines automatically, Xero guesses which invoice or bill each line belongs to, and the accounts are always finished rather than assembled once a year. The valuable part is not the guessing — it is that Xero owns the shoebox. Once every transaction a business has ever made lives inside Xero, and the accountant's whole workflow is built on top of it, moving out means rebuilding several years of financial history somewhere else while the tax authority is still asking questions about it.

At an engineering level Xero is a multi-tenant, double-entry general ledger with four functional layers stacked on top of it. Understanding where the difficulty lives in each layer is what separates a defensible franchise from a form-filling application that a language model could plausibly replicate.

- **Layer 1 — the ledger.** A double-entry general ledger (GL) is a constraint system: every entry must have equal and opposite debits and credits, entries in a closed period are immutable, and the trial balance must reconcile at all times. The engineering difficulty is not the arithmetic; it is maintaining those invariants across a multi-tenant database serving 4.92 million organisations concurrently, with a full audit trail per entry, under the evidentiary standards of five or more national tax regimes simultaneously.
- **Layer 2 — data ingestion (bank feeds).** A bank feed is an authenticated, recurring pull of transaction data from a financial institution into the ledger. The high-quality version uses OAuth (Open Authorisation) — a token-based standard where the bank issues Xero a revocable credential scoped to read a specified account, so no customer password is ever stored. The low-quality version is credential-based screen-scraping, which breaks whenever a bank changes its login flow. Feed breadth and feed reliability are the single largest determinant of whether reconciliation actually automates, and they are built bank by bank over years.
- **Layer 3 — the matching and classification engine.** Reconciliation is a probabilistic record-linkage problem: given a bank line consisting of an amount, a date and a merchant descriptor string, identify which of the organisation's open invoices, bills or expense categories it corresponds to. The features that make this tractable are amount proximity, date proximity, descriptor similarity, and — decisively — the historical behaviour of that specific organisation and the aggregate behaviour of every other organisation that has ever coded a similar descriptor. This is the proprietary data asset, and it is the layer Xero management points to when arguing that a generic language model cannot simply reproduce the product.
- **Layer 4 — the agentic and payments surface.** Since September 2025 Xero has layered JAX (Just Ask Xero) on top: a large-language-model orchestration layer branded a 'financial superagent' that decomposes an instruction into sub-tasks and calls the underlying ledger and payments application programming interfaces (APIs) as tools. Melio, acquired October 2025, adds the money-movement rail so instructions can settle rather than merely being recorded.

The determinism problem is worth stating explicitly, because it is where the AI-disruption debate is actually decided. A language model is a probabilistic next-token predictor; a general ledger is a system with hard invariants and legal consequences. You cannot let a model write directly to a statutory ledger, because a 3% error rate on bank reconciliation is not a 3% degradation in output quality — it is a set of accounts that does not balance and a tax filing that is wrong. Xero's architectural answer is that the model proposes and a deterministic layer disposes: JAX generates candidate journal entries, the ledger validates them against its constraints, and the human professional retains sign-off. Xero reports over 40 million transactions reconciled through JAX at a stated 97% accuracy rate. That 97% is the number to interrogate — it is high enough to save material time and low enough that supervision remains mandatory, which is precisely the configuration that keeps the accountant in the workflow and therefore keeps Xero in the workflow.

Product portfolio

Product line	What it does / key specs	Competes against
Xero Accounting (Ignite, Grow, Comprehensive, Ultra)	Core multi-tenant general ledger: invoicing, bank reconciliation, GST/VAT returns, fixed assets, multi-currency. Tiered plans; Ultra launched at Xerocon London 8 July 2026 targeting larger and mid-market businesses. AU prices raised ~4-13% by tier from 1 July 2026 and the multi-organisation discount withdrawn.	QuickBooks Online (Intuit), Sage Accounting / Sage 50, MYOB Business, FreeAgent, Zoho Books, Wave, Reckon
Xero Payroll / Xero Me	Statutory payroll with direct filing into tax authorities — Single Touch Payroll (STP) in Australia, Real Time Information (RTI) in the UK, payday filing in New Zealand. Employee self-service app for timesheets and leave.	MYOB Payroll, Sage Payroll, Employment Hero, Gusto, ADP, Intuit QuickBooks Payroll
Melio (US bill pay)	Accounts payable and receivable rail for US small businesses: pay suppliers by bank transfer or card, receive payments, schedule and approve. Processed over US\$30bn of payments and US\$153m of revenue in the year to March 2025 pre-acquisition. Distributes directly and through partners including Fiserv, Capital One and Shopify.	BILL Holdings, Ramp, Brex, Intuit QuickBooks Bill Pay, Tipalti
Xero payments (card / direct debit acceptance)	Embedded 'pay now' on invoices through third-party processors; monetised on a take rate of payment volume rather than a fixed subscription. The primary driver of average revenue per customer expansion and the primary driver of gross margin dilution.	Stripe direct, Square, GoCardless direct, Intuit QuickBooks Payments
JAX (Just Ask Xero) / Xero OS	Agentic AI layer orchestrating multiple sub-agents across accounting, payroll and payments. Live globally. Smart document capture and automated bank reconciliation added July 2026. Multi-model: OpenAI partnership (Sept 2025) plus multi-year Anthropic Claude collaboration (March 2026, integration live May 2026).	Intuit Intuit Assist / QuickBooks AI agents, Sage Copilot, generic LLM assistants
XeroForce	Natural-language custom AI agent builder — users write prompts to create durable agents spanning Xero and third-party apps. Announced 13 May 2026; invite-only alpha with general release flagged for later in 2026. Roadmap, not shipped revenue.	Zapier / Make automation, Intuit agent tooling, in-house LLM scripting
Practice tools: Xero Practice Manager, Partner Hub, TaxCycle	Workflow, job and client management for accounting and bookkeeping practices; TaxCycle is Canadian tax preparation software. Partner Hub consolidates practice tools into one customisable homepage; announced 2025, expanded July 2026.	Karbon, Intuit ProConnect / ProTax, Sage for Accountants, IRIS
Adjacent acquisitions: Hubdoc, Planday, Syft, Tickstar	Hubdoc — receipt and bill data capture. Planday — employee scheduling. Syft — reporting, forecasting, dashboards and consolidations. Tickstar — e-invoicing network access (Peppol).	Dext, Deputy, Fathom, Storecove

Why the agentic AI cycle structurally changes the demand profile

The prior cycle — cloud migration, roughly 2010 to 2023 — monetised Xero on a single vector: subscriber count. Revenue per customer moved slowly because the product was a fixed-price software subscription and price rises were annual and modest. The current cycle changes the monetisation vector in two distinct ways, and it is important to separate them because they have opposite margin signs.

- Vector one — payments attach (margin-dilutive, revenue-accretive). Payments revenue is earned as a take rate on money moved, not as a subscription. It scales with transaction volume rather than seat count, so it is genuinely additive to average revenue per customer (ARPC), but it carries interchange, network and sponsor-bank costs inside cost of goods sold. This is the mechanical reason group gross margin fell 5.1 percentage points to 83.9% in FY26. It is dilution by construction, not by mismanagement.

- Vector two — AI-enabled tier and price realisation (margin-neutral to accretive, but with a new variable cost). Agentic features justify a higher-priced tier (the Ultra plan) and support above-inflation price rises on existing tiers — Australian plan prices rose roughly 4-13% by tier from 1 July 2026, with the multi-organisation discount withdrawn. Against that, inference cost per active AI user is a genuinely new line in cost of goods sold that did not exist in the prior generation, and it scales with usage rather than with revenue.

Quantifying the intensity shift: ARPC rose 23% to NZ\$55.44 per month in FY26 (organic ARPC rose 14% to NZ\$51.20), against approximately NZ\$45.1 in FY25 — implied. Applying the respective gross margins, gross profit per customer per month moved from roughly NZ\$40.1 to roughly NZ\$46.5, an increase of about 16%. That is the honest way to read the margin dilution: the company is converting a 5.1-point gross margin sacrifice into a 23% revenue-per-customer uplift, and the resulting gross profit per customer is up mid-teens. The same arithmetic run the other way is the bear case — if payments attach continues to scale while pricing power fades, gross margin keeps compressing and gross profit per customer growth converges toward zero. Both readings are available from the same data, which is why the stock is contested. Note that the NZ\$45.1 FY25 ARPC figure and the gross-profit-per-customer calculation are house-derived from reported growth rates rather than separately disclosed line items.

Adoption evidence, such as it is, is early but not trivial: Xero reports 2.6 million customers used at least one AI feature during FY26 and 513,000 used generative AI tools specifically, with messages sent to JAX per user growing roughly 115%. These are usage metrics, not revenue metrics. No AI-attributable revenue line has been disclosed, and XeroForce — the piece of the roadmap that would most plausibly create a new monetisation surface — remains in invite-only alpha.

3 SUPPLY CHAIN MAPPING

ELI5 — A software company still has a supply chain

A car factory buys steel, chips and tyres. A software company like Xero buys four things it cannot make itself: somewhere to run (rented computers from a cloud provider), the raw material (bank transaction data, which the banks own, not Xero), the plumbing to actually move money (payment rails and the licences to touch other people's money), and — new this cycle — the brains for its AI features (rented from model providers). If any of those four suppliers raises its price or cuts off access, Xero's margins move whether or not a single customer leaves. The bank-data dependency is the one worth watching: Xero's core value proposition is data it does not own and does not control the access terms for.

Input	Supplier(s)	Single source?	Risk note
Compute and storage (hosting the ledger)	Public cloud infrastructure; Xero has historically run on Amazon Web Services (AWS) following its migration off owned data centres	Effectively yes at the workload level	Hyperscaler concentration is standard for SaaS but not costless: pricing is negotiated in multi-year commitments and migration between providers is a multi-year programme. Flagged as estimated — Xero does not break out infrastructure cost or provider mix in its results.
Bank transaction data (US)	Plaid — strategic partnership announced July 2025, adding over 1,000 direct OAuth connections and tripling available US feeds; phased rollout from late 2025	Substantially yes for the US	The single most concentrated dependency in the business. Xero has stated Plaid will power a substantial portion of US bank feeds. Plaid is a private company that also serves Xero's competitors and is itself a potential acquisition target. Renegotiation of per-connection pricing flows straight to cost of goods sold; loss of access would degrade the core product in the market Xero is spending most heavily to win.
Bank transaction data (ANZ / UK)	Direct bank feed agreements with major banks; Consumer Data Right (CDR) in Australia and Open Banking under PSD2 in the UK	No — many institutions	Regulated open-banking regimes reduce single-supplier risk in ANZ and the UK relative to the US. The residual risk is regulatory rather than commercial: changes to CDR accreditation or UK open-banking API standards can impose re-engineering cost.

Input	Supplier(s)	Single source?	Risk note
Payment acceptance rails	Third-party processors embedded in Xero invoices (card acquiring, direct debit); Melio's own sponsor-bank and network relationships in the US	No, but switching is slow	Interchange and network fees are pass-through costs inside a take-rate model. Any adverse movement in interchange, or loss of a sponsor-bank relationship at Melio, compresses payments gross margin directly. This is the input cost line most likely to surprise.
US money transmission licences	State-by-state Money Transmitter Licences (MTLs) held through the Melio entities	Regulatory, not commercial	The Melio transaction required change-of-control consents across state MTLs. Ongoing compliance is a fixed cost and a gating item for product expansion; an enforcement action in a large state would be disruptive out of proportion to its direct cost.
Large language model inference	OpenAI (partnership announced September 2025) and Anthropic (multi-year collaboration March 2026, Claude integration live May 2026)	No — deliberately multi-model	Xero has explicitly architected for multiple providers, which is the correct defensive posture on both price and capability. The exposure is not supplier lock-in but unit economics: inference is a usage-scaling variable cost inside cost of goods sold with no corresponding usage-scaling revenue line, since AI features are bundled into subscription tiers rather than metered.
Statutory filing integrations	Tax authority APIs — Australian Taxation Office (ATO), HM Revenue and Customs (HMRC), Inland Revenue Department (IRD), Canada Revenue Agency via TaxCycle	Yes, by definition — one authority per jurisdiction	This is a dependency that cuts in Xero's favour. Compliance mandates are demand drivers: UK Making Tax Digital (MTD) for Income Tax began April 2026 for sole traders and landlords above GBP50,000 of qualifying income, stepping down to GBP30,000 in April 2027 and GBP20,000 in April 2028.
Third-party application ecosystem	Independent developers on the Xero App Store, connected via public API	No	The ecosystem is a moat input rather than a cost input — each integration a customer adopts raises switching cost. The risk is inverse: if an agentic layer makes app-to-app integration trivial, the ecosystem's lock-in value falls even as its functional value rises.

Geographic exposure and cost sensitivity. Xero's revenue is earned in AUD, NZD, GBP and USD but reported in NZD, so translation is a persistent source of noise in headline growth: FY26 revenue growth was 31% reported against 28% in constant currency, and H1 FY26 annualised monthly recurring revenue (AMRR) growth was 26% reported against 19% constant currency — a seven-point wedge. An investor buying the ASX line in AUD is therefore taking a second-order currency position (NZD operating results, AUD share price) on top of the equity. On the cost side, the structural change this cycle is that Xero's cost of goods sold is migrating from almost purely fixed (hosting a ledger costs roughly the same whether the customer uses it or not) toward substantially variable (payment volume costs and inference costs both scale with usage). That is why the gross margin line, historically an uninteresting 88-89% constant, has become the most informative single line in the accounts.

4 COMPETITIVE LANDSCAPE

Xero's competitive position is not one position but three. In Australia and New Zealand it is the incumbent with pricing power. In the United Kingdom it is a strong number two or co-leader benefiting from a regulatory tailwind. In the United States it is a challenger with 424,000 customers against an incumbent with an installed base an order of magnitude larger. Any single 'market share' figure for Xero is therefore close to meaningless; the numbers below should be read as directional and are drawn from third-party technographic estimates that vary widely by methodology.

Company	HQ	Revenue	Market share (directional)	Key differentiator	Weakness vs. Xero
Xero (ASX: XRO)	Wellington, NZ	NZ\$2,753m FY26 (+31%; +21% organic)	~2.1m AU customers, ~650k NZ, ~1.32m UK, ~424k US, ~426k RoW. Dominant ANZ; strong UK; ~6-9% of global cloud accounting on third-party estimates	Accountant-channel-first distribution, cleanest reconciliation UX, open API ecosystem, multi-model AI architecture	n/a — subject company
Intuit (NASDAQ: INTU)	Mountain View, US	~US\$20.9bn trailing twelve months	QuickBooks estimated at roughly 80% of US small-business accounting; ~62-67% of the global category on some technographic counts	Overwhelming US scale and brand; TurboTax consumer tax adjacency; Credit Karma data; in-house AI agents shipped to UK businesses November 2025; a small-business Mastercard launched July 2026	Xero is a distant challenger in Intuit's home market. Intuit can bundle accounting, payroll, payments and lending against Xero's narrower US stack and outspend it on brand. Intuit is however fighting its own de-rating (down ~55-61% over twelve months, a ~17% staff cut, securities class actions filed July 2026) — this is a sector problem, not a Xero problem
Sage Group (LSE: SGE)	Newcastle upon Tyne, UK	GBP2,513m FY25; FY26 organic growth guided at 9% or above	Entrenched in the UK accountant channel and mid-market; strong in Sage Intacct in the US mid-market	Deep UK compliance heritage, Sage Intacct in the mid-market, Sage Copilot; profitable and dividend-paying	Slower growth than Xero and a heavier legacy desktop tail (Sage 50). Sage competes for the same UK accountant relationships Xero needs for Making Tax Digital conversion, and is a more credible mid-market alternative than Xero has historically been — which is exactly the gap the new Ultra plan targets
MYOB (private, KKR-owned)	Melbourne, Australia	Not disclosed since the 2019 take-private	Large installed base in Australia and New Zealand, weighted toward legacy and larger SMBs	Deepest local compliance heritage in ANZ; strong in payroll and inventory for established businesses	No public currency for M&A and no disclosure discipline, but as a private-equity-owned incumbent it can price aggressively in Xero's most profitable market without needing to defend a public multiple. The main threat to Xero's ANZ price rises
BILL Holdings (NYSE: BILL)	San Jose, US	~US\$414.7m in the December 2025 quarter (+14% year on year)	Leading independent US small-business accounts-payable platform	Purpose-built AP/AR automation, large supplier network, deep accountant-channel distribution in the US	This is Melio's direct competitor, and it is under strategic pressure — activist positions from Starboard, Elliott and Barington, and reported buyout discussions with Hellman and Friedman in February 2026. A private-equity owner with a cost mandate could compete differently on price than a public company defending margin
FreeAgent (NatWest), Wave (H&R Block), Zoho Books, Reckon (ASX: RKN)	UK / US / India / Australia	Individually immaterial vs. Xero	Niche and low-end; FreeAgent bundled free with NatWest business accounts	Distribution through a bank (FreeAgent) or free-tier land-grab (Wave, Zoho) rather than product depth	None threaten Xero at the accountant-channel or mid-market level, but FreeAgent's bank bundling is a template — if a major bank in a Xero core market bundles a ledger free with business banking, the entry-tier price floor moves

The moat

Xero's moat is four-layered, and the layers differ sharply in durability. Weakest is the software feature set itself — a modern ledger user interface is replicable and always has been. Stronger is the bank feed estate: thousands of individually negotiated, individually maintained institutional connections, which took a decade and cannot be bought. Stronger still is the accountant and bookkeeper channel — Xero does not primarily sell to small businesses, it sells to the professionals who put their entire client book on one platform, and a practice with 300 clients on Xero has staff trained on Xero, workpapers built on Xero and a practice-management layer integrated into Xero. Strongest of all is regulatory embedment: once a

business's payroll files directly to the tax authority through Xero and its Making Tax Digital submissions run through Xero, migrating means re-establishing statutory filing continuity mid-year. The evidence that this works is in the churn line — monthly recurring revenue churn of 1.14% and underlying cohorted churn of 0.81%, sustained through a period in which the equity halved and Australian prices rose 4-13%.

The most credible threat

The most credible threat is not a generic language model replacing accounting software — that argument fails on the determinism problem set out in Section 2 and on the fact that the tax authority requires an accredited filing channel, not a chatbot. The most credible threat is Intuit making agentic AI table stakes faster than Xero can convert it into price. Intuit shipped five agents to UK businesses in November 2025 covering bookkeeping, customers, finance, projects and value-added tax; Xero's equivalent general-availability agent builder, XeroForce, is still in invite-only alpha as of late July 2026. If automated reconciliation, document capture and cash-flow agents become a universal free inclusion across every vendor within eighteen months, then Xero's AI investment has bought it the right to keep its existing customers rather than the right to charge them more — and the entire ARPC-led growth algorithm, which is currently doing more work than subscriber growth, loses its engine. A secondary version of the same threat runs through Melio: if BILL is taken private and run for share gain rather than margin, the US payments take rate Xero is underwriting the acquisition with compresses before Melio reaches the FY28 breakeven management has guided to.

5 MANAGEMENT AND GOVERNANCE

Executive	Role and tenure	Background	Relevance to thesis
Sukhinder Singh Cassidy	CEO since 1 February 2023 (~3.5 years)	Born Tanzania, 1970; University of Western Ontario / Ivey Business School. Prior: President of StubHub (2018-2020); founder of Joyus and theBoardlist; senior roles at Google, Amazon, Sky UK and Yodlee. Chair and founder of Choose Possibility.	Hired to professionalise and globalise a founder-built company. Executed a 700-800 role reduction (~15% of headcount) in March 2023 and materially improved operating leverage — the opex-to-revenue ratio has been guided down repeatedly and beaten. She owns the US strategy and the Melio bet; her track record on the operating-cost side is strong, on the capital-allocation side unproven.
Claire Bramley	CFO since 1 April 2025 (~1.3 years)	Joined from Teradata, where she was CFO from 2021 with responsibility spanning finance, IT, security, strategy, enterprise risk and investor relations. Prior career at Hewlett-Packard.	Inherited the balance sheet mid-Melio. The FY27 guidance framework shift — from an opex-to-revenue ratio target to an adjusted EBITDA range — is hers, and is a meaningful change in how the market can hold management accountable.
Diya Jolly	Chief Product and Technology Officer	Product leadership; the public voice on Xero OS, JAX and the agentic architecture.	The AI narrative is hers to deliver. Whether XeroForce reaches general availability in 2026 as flagged is the cleanest near-term test of product execution.
Matan Bar	CEO, US business (since Melio close, October 2025)	Co-founder and CEO of Melio (founded 2018, New York and Tel Aviv); reports to Singh Cassidy.	Retention of the Melio founding team is a stated element of the deal structure — a meaningful portion of the up to US\$0.5bn contingent consideration is tied to continued employment and performance targets. His departure would be a first-order negative.
David Thodey	Chair of the Board	Former CEO of Telstra; long-standing Australian technology and governance figure.	Reported to have been engaging investors directly on CEO remuneration ahead of the 2026 annual meeting, following a near-miss on the 2025 pay vote.

Capital allocation

Xero has never paid a dividend and does not intend to. The capital allocation record is predominantly acquisitive: Hubdoc, Planday, Waddle, LOCATE, TaxCycle, Syft, Tickstar and now Melio. The Melio transaction

is an order of magnitude larger than anything preceding it and deserves to be judged on its own. Upfront consideration was US\$2.5bn (approximately A\$3.9bn) in cash and scrip, with up to US\$0.5bn of contingent, deferred and rollover consideration payable to Melio employees over three years. Funding was a fully underwritten A\$1.85bn institutional placement at A\$176 per share, an approximately A\$200m share purchase plan, US\$360m of Xero scrip issued to Melio holders, a US\$400m unsecured revolving credit facility and approximately US\$600m of existing cash. Xero paid roughly 16 times Melio's US\$153m of trailing revenue.

The judgement on that deal is not yet available, but the interim scoreboard is unflattering in one specific respect: the A\$176 placement price is roughly 2.5 times the current share price, meaning institutional participants in the raise are sitting on a substantial loss and the equity issued to fund the deal was, with hindsight, issued near a cyclical peak in the multiple rather than at a discount. That is partly luck and partly the risk inherent in scrip-funded M&A. Operationally, Melio contributed NZ\$205m of revenue and an approximately NZ\$111.7m net loss over five and a half months of FY26, and management guides to adjusted EBITDA breakeven on a run-rate basis in the second half of FY28 — two full years away. Offsetting this, the board has authorised up to A\$550m of on-market buying in FY27, explicitly framed as offsetting share-based payment dilution rather than as a return of capital. Read correctly, that is not a buyback; it is the cash cost of the equity compensation programme being made visible.

Insider ownership and recent transactions

Aggregate insider ownership is approximately 4.3% and institutional ownership approximately 28% per third-party data, against a float of roughly 163m of 170.6m shares. The material governance event of the past quarter is the CEO's disposal of her entire direct shareholding. Singh Cassidy sold 70,737 shares between 26 May and 2 June 2026 (of which 30,691 under a mandatory sell-to-cover tax arrangement), then sold her remaining 29,608 ordinary shares at approximately A\$74 on 7 July 2026 for A\$2.19m — disclosed on 13 July. Total proceeds across both windows were approximately A\$7.6m. Xero attributed the July sale to personal tax obligations. Following it she held zero ordinary shares, 171,381 restricted stock units and 1,038,308 unlisted options.

The alignment analysis matters more than the headline. All 1.038m options are out of the money: 463,308 carry an exercise price of A\$72.39 and 575,000 carry an exercise price of A\$171.11. At a share price near A\$68-74 the first tranche is roughly at or just below strike and the second requires an approximately 150% appreciation to have any intrinsic value at all. The practical consequence is that the CEO's economic exposure to the share price is concentrated almost entirely in instruments that are currently worthless in intrinsic terms and in RSUs worth roughly A\$12m at current prices. The market reaction was disproportionate to the transaction — the disclosure coincided with a roughly 7% three-session decline and an estimated A\$875m reduction in market value on a sale representing less than 4% of that day's volume — which tells you the selling was a re-assessment of management alignment, not mechanical supply.

Governance flags

- Remuneration is a live and unresolved issue. Approximately 48.74% of proxy votes were cast against the remuneration report at the 2025 annual meeting — a near-majority rejection. Because Xero is New Zealand-domiciled, the Australian 'two strikes' regime does not bite in the same way, which removes the mechanical board-spill consequence but does not remove the signal.
- The pay package that triggered it: base salary and short-term incentive target each cut from US\$735,000 to US\$540,000 effective 1 April 2025, but long-term incentive and long-term equity opportunity raised to US\$14.12m, taking total target remuneration to US\$15.2m — of which at least 96% is performance- or share-price-linked. The 575,000 options struck at A\$171.11 were granted 'at the money' at the time and are now deeply underwater, which is precisely the situation that generates pressure to reprice or restructure.

- Reporting suggests a plan to reset the CEO's package to be less dependent on the share price. Any such reset is the item to scrutinise in the 2026 notice of meeting: restructuring incentives after a 62% drawdown transfers risk from the executive back to shareholders unless the performance hurdles are genuinely reset upward.
- No dual-class share structure. One class of ordinary shares, no founder super-voting rights. Founder Rod Drury is no longer executive. This is a clean capital structure by ASX technology standards.
- No material related-party transaction disclosures identified in the course of this review. The board is described by third-party data as experienced, with average director tenure of approximately 6.2 years against average management tenure of approximately 1.7 years — a wide gap that is itself worth noting: this is an experienced board supervising a substantially new executive team executing the largest transaction in company history.

Assessment. Competent and, on operating execution, credible: the cost discipline since 2023 is real, guidance on the opex ratio has been met or beaten, and FY26 revenue and EBITDA landed within the frame management set. Alignment is the weak leg. A CEO holding zero ordinary shares, whose entire equity incentive sits in out-of-the-money options and RSUs, whose pay package was rejected by nearly half the register, and who is reported to be seeking a package less dependent on the share price, is not the alignment profile you want underwriting a US\$2.5bn acquisition with a two-year path to breakeven. The 27 August 2026 annual meeting is the venue where this either improves or hardens.

6 FINANCIAL TRAJECTORY

All figures New Zealand dollars unless stated. Xero's financial year ends 31 March, so FY26 is the twelve months to 31 March 2026 and results were released on 14 May 2026. Xero reports half-yearly, not quarterly.

Period	Revenue	Growth	Gross margin	Adj. EBITDA	Free cash flow	Statutory NPAT
FY24 (to Mar 24)	NZ\$1,713.8m	+22%	n/d in this review	n/d	n/d	n/d
FY25 (to Mar 25)	~NZ\$2,102m	+23%	89.0%	~NZ\$642m (derived)	n/d	NZ\$227.8m
H1 FY26 (to Sep 25)	NZ\$1,194.2m	+20%	88.5%	n/d	NZ\$321m (+54%)	n/d
FY26 (to Mar 26)	NZ\$2,753m	+31% rep. / +28% cc; +21% organic	83.9% (-5.1pp)	NZ\$757.4m (+18%), ~27.5% margin	NZ\$554.0m (20.1% margin)	NZ\$167.4m (-26.5%); adj. NPATA NZ\$213.7m
FY27 guidance	NZ\$3,620-3,730 m	+32% to +35% at the guided range	not guided	NZ\$860-920m	not guided	not guided
FY28 aspiration	~2x FY25 revenue (~NZ\$4.2bn)	n/a	n/a	'Rule of 40 outcomes'	n/a	n/a

Operating key performance indicators (KPIs) FY26. Total customers 4.92m, up 506,000, of which 52,000 arrived with Melio. Net additions by market: Australia +165,000 to 2.10m; New Zealand +21,000 to 650,000; United Kingdom +166,000 to 1.32m; United States +110,000 to 424,000; rest of world +44,000 to 426,000. Annualised monthly recurring revenue (AMRR) NZ\$3.27bn, up 37% (up 25% organically). Average revenue per customer (ARPC) NZ\$55.44 per month, up 23% (organic ARPC NZ\$51.20, up 14%). Monthly recurring revenue churn 1.14%; underlying cohorted churn 0.81%. Lifetime value NZ\$20.96bn, up 17%. Operating expense to revenue 70.5% excluding Melio transaction costs. Rule of 40 — constant-currency revenue growth plus free cash flow margin — 48.5%.

Regional revenue. United States revenue rose 240% on a headline basis to NZ\$331.7m, almost entirely Melio. The United Kingdom generated NZ\$726.8m on 1.32m customers. In H1 FY26, ANZ delivered NZ\$663.7m (+17%) and International NZ\$530.5m (+24%). The composition point is important: ANZ remains

the cash engine funding an international land-grab, and New Zealand's mere 21,000 net additions in FY26 is the clearest available evidence of what a saturated Xero market looks like.

Balance sheet items that matter

- Net debt of NZ\$383.4m at 31 March 2026, reversing net cash of NZ\$682.9m a year earlier. Cash and liquid resources approximately NZ\$1.9bn. The swing is entirely Melio funding. Third-party data puts debt-to-equity at approximately 0.39 and interest coverage at approximately 3.4 times — manageable, but Xero is no longer a fortress-balance-sheet compounder and the FY26 profit decline was partly driven by higher interest and tax.
- Share count 170.6m, up 13.72% year on year. The dilution came from the A\$1.85bn placement at A\$176, the approximately A\$200m share purchase plan and US\$360m of scrip to Melio holders. Further issuance is possible against the up to US\$0.5bn of contingent consideration payable over three years.
- Up to A\$550m of on-market buying authorised for FY27, framed as offsetting share-based payment dilution. At current prices that is roughly 4-5% of the shares outstanding if fully executed, but it is not incremental to shareholders — it neutralises compensation dilution rather than shrinking the count.
- No dividend, and none expected. Return on equity of approximately 4.4% and return on invested capital of approximately 3.2% on third-party data are low relative to the multiple, reflecting the goodwill created by Melio sitting in the denominator against a business only starting to monetise it.
- No material impairment has been taken against Melio goodwill. This is the balance sheet item to monitor: a US\$2.5bn acquisition with a two-year path to EBITDA breakeven, in a market where the closest listed comparable trades at roughly US\$3-4bn of market capitalisation, is a live impairment candidate if US momentum stalls.

7 NEAR-TERM CATALYSTS AND RISKS

Catalyst	Timing	Impact	Probability
UK Making Tax Digital for Income Tax first submission deadline	7 August 2026	First hard compliance deadline for UK sole traders and landlords above GBP50,000 of qualifying income. Xero flagged early adoption late in FY26. Evidence of conversion volume would validate the single clearest regulatory tailwind in the business and de-risk the UK growth line through the GBP30,000 (April 2027) and GBP20,000 (April 2028) threshold step-downs.	High (event certain; magnitude uncertain)
Annual meeting and remuneration vote	27 August 2026	After a 48.74% against vote in 2025 and the CEO's full disposal of ordinary shares in July 2026, the pay resolution is a genuine sentiment event. A restructured package with lower share-price dependency would be read as management de-risking itself at shareholder expense; a package with reset but demanding hurdles plus visible on-market buying by directors would materially repair the alignment narrative.	High
XeroForce general availability	Flagged 'later in 2026'	Moves the agentic story from usage metrics to a monetisable surface. General release plus any disclosed pricing or attach data would be the first hard evidence that AI is a revenue vector rather than a retention defence. Slippage into 2027 would be read as Intuit out-shipping Xero.	Medium
H1 FY27 result	11-12 November 2026	First clean half with Melio fully consolidated in both periods and the first read on whether the up to NZ\$55m of incremental US brand spend is converting. Management has flagged a higher-than-historical second-half weighting to FY27 adjusted EBITDA, which means H1 will look optically weak by design — a set-up for a negative reaction if not carefully pre-communicated.	High
Australian price rise realisation	From 1 July 2026, read out in H1 FY27	Plan prices raised roughly 4-13% by tier with the multi-organisation discount withdrawn. This is the highest-margin revenue in the group. Realisation without a churn step-up would directly validate the pricing-power leg of the moat argument in the market where saturation is most advanced.	Medium-High

Catalyst	Timing	Impact	Probability
Melio US payments volume and attach into the Xero base	Continuous; reported half-yearly	Embedded bill payment launched into Xero business plans in the US in March 2026 with free standard ACH included. Attach rate of Melio payments into Xero's 424,000 US customers is the cleanest measure of whether the US\$2.5bn bought a distribution asset or just revenue.	Medium
Sector re-rating of application software	Unpredictable	Xero's de-rating is substantially a sector event — Intuit is down roughly 55-61% over twelve months on the same AI-disruption narrative. Any evidence that agentic AI is expanding rather than compressing software wallets would lift the whole cohort, and Xero is high-beta to that with a ~58-68x forward multiple.	Medium
Corporate action risk at BILL Holdings	Live since February 2026	Reported Hellman and Friedman buyout discussions and three activist positions. A take-private would remove the cleanest listed comparable for Melio's asset value and could reset competitive pricing in US SMB accounts payable.	Medium

Key risks

Risk 1 — Intuit makes agentic AI free and universal before Xero can price it. Intuit shipped five AI agents to UK businesses in November 2025 covering bookkeeping, customers, finance, projects and VAT; Xero's comparable general-availability agent builder remains in invite-only alpha as of late July 2026. Xero's growth algorithm currently leans harder on ARPC (+23%) than on subscriber growth (+11%), and a meaningful share of that ARPC uplift is price rises justified by product enhancement. If automated reconciliation, document capture and cash-flow agents become a free inclusion across every vendor, Xero loses the justification for above-inflation pricing in its two most saturated markets at exactly the point where subscriber growth in those markets has decelerated to 21,000 net adds in New Zealand. This is not a distant threat; it is an eighteen-month question.

Risk 2 — Melio integration and the FY28 breakeven promise. Melio contributed NZ\$205m of revenue and an approximately NZ\$111.7m net loss over five and a half months of FY26, and management guides to adjusted EBITDA breakeven on a run-rate basis only in the second half of FY28. That is a long runway on an asset acquired for US\$2.5bn upfront at roughly 16 times trailing revenue, funded with equity issued at A\$176 against a current price near A\$70. The specific failure mode is not the acquisition being bad — it is the acquisition being merely acceptable while the incremental NZ\$55m of US brand spend, the contingent consideration issuance and the interest cost on the US\$400m facility all land before the revenue does. Watch for Matan Bar's continued tenure: a meaningful portion of the up to US\$0.5bn contingent consideration is tied to continued employment, and founder departure in a payments business with sponsor-bank and partner relationships (Fiserv, Capital One, Shopify) is a first-order risk.

Risk 3 — Plaid concentration in US bank feeds. Xero has stated Plaid will power a substantial portion of its US bank feeds following the July 2025 partnership, with over 1,000 direct OAuth connections and a phased rollout from late 2025. Bank feed reliability is not a peripheral feature in the US — it is the precondition for the reconciliation automation that is Xero's entire differentiation against QuickBooks, in the one market where Xero is the challenger. Plaid is a private company that simultaneously serves Xero's competitors, is a plausible acquisition target, and sets per-connection pricing that flows directly into cost of goods sold at a moment when Xero's gross margin has already fallen 5.1 points. There is no obvious substitute of comparable breadth in the US.

Risk 4 — management alignment and the remuneration reset. The CEO holds zero ordinary shares following the July 2026 disposal. Her 575,000 options struck at A\$171.11 require roughly 150% appreciation to have intrinsic value, and reporting indicates a plan to reset her package to be less dependent on the share price. Nearly half the register (48.74%) rejected the FY25 remuneration report. The concrete risk is that the 27 August 2026 annual meeting produces a repriced or restructured package that transfers downside from the executive back to shareholders without a corresponding increase in hurdles — a governance outcome that would justify a permanent discount to the multiple, independent of operating performance.

Risk 5 — ANZ maturity colliding with price-led growth. New Zealand added 21,000 net customers in FY26 against a base of 650,000, and Australia added 165,000 against 2.10m. ANZ is where the margin is and where the price rises are being taken (4-13% from 1 July 2026, multi-organisation discount withdrawn). Price-led growth in a saturating market with a private-equity-owned competitor (MYOB) that has no public multiple to defend is a specific and testable vulnerability. Monthly recurring revenue churn has already crept to 1.14% from below 1.1%, and management attributes the drift to increased direct-channel mix and higher International weighting — both structurally higher-churn cohorts. If ANZ churn moves on the back of the July 2026 price rise, the highest-quality revenue in the group deteriorates first.

Risk 6 — currency translation and the AUD/NZD wedge. Xero reports in NZD, earns in AUD, GBP and USD, and trades in AUD. FY26 headline growth of 31% was 28% in constant currency; H1 FY26 AMRR growth of 26% was 19% in constant currency. Roughly a quarter of the reported growth rate in that half was translation. An investor buying XRO on the ASX is layering a currency position on an already contested equity story, and a strengthening NZD would compress reported growth toward the high teens with no change in underlying performance.

8 VALUATION CONTEXT

Company	Market cap	Revenue	P/E	EV/EBITDA	Revenue growth	End-market exposure
Xero (ASX: XRO)	A\$11.1-13.1bn (~US\$7.3-8.6bn)	NZ\$2,753m FY26 (~A\$2.3bn as converted by aggregators)	~80-94x trailing; ~58-68x forward	~33-38x	+31% rep. / +21% organic FY26; FY27 guide implies +32-35%	SMB accounting and payments: ANZ ~56% of customers, UK ~27%, US ~9%
Intuit (NASDAQ: INTU)	~US\$83-89bn	~US\$20.9bn TTM	~23x trailing	n/d in this review	Mid-teens historically; TurboTax guidance cut in 2026	US-dominant: QuickBooks SMB, TurboTax consumer tax, Credit Karma, Mailchimp
Sage Group (LSE: SGE)	~GBP10-11bn (as at late 2025; stale)	GBP2,513m FY25	n/d in this review	n/d in this review	FY26 organic guided 9% or above	UK and Europe SMB plus US mid-market (Sage Intacct); dividend-paying
BILL Holdings (NYSE: BILL)	~US\$3.4-4.2bn	~US\$414.7m in Dec-25 quarter	n/m (loss-making quarter)	n/d in this review	+13-14%	US SMB accounts payable and receivable; direct comparable for Melio

The comp table contains the whole disagreement. Xero trades at roughly 58-68 times forward earnings against Intuit at roughly 23 times trailing — a premium of nearly three times for a company one seventh Intuit's size that is losing to Intuit in Intuit's home market. On earnings, Xero looks expensive after a 62% fall. On cash, it does not: price to free cash flow of roughly 17 times and enterprise value to free cash flow of roughly 17 times against 20% free cash flow margins and 20%-plus organic growth is not a demanding multiple by any historical software standard. The gap between those two readings is amortisation of acquired intangibles, Melio's loss, share-based payment and an approximately 50% effective tax rate — all of which suppress accounting earnings while leaving cash generation intact. Which multiple is right depends entirely on whether Melio's losses are an investment or a permanent feature.

Bull case

The de-rating is a sector-wide repricing of software duration, not a company-specific break, and Xero's operating metrics never deteriorated: 1.14% monthly churn through a period of 4-13% price rises, 48.5% Rule of 40, NZ\$554m of free cash flow at a 20% margin, and NZ\$3.27bn of AMRR already in place against FY27 revenue guidance of NZ\$3.62-3.73bn — meaning the guided year is roughly underwritten by recurring revenue booked before it starts. On that base, three things compound: UK Making Tax Digital forcibly digitises hundreds of thousands of sole traders and landlords across the April 2026, April 2027 and April 2028 threshold steps, into a market where Xero already has 1.32m customers and the accountant channel; Melio converts the 424,000 US Xero customers into payments accounts, turning a NZ\$331.7m US revenue

line into the group's growth engine as it crosses adjusted EBITDA breakeven in 2H FY28; and the ARPC engine keeps running as Ultra and agentic features move customers up-tier. If Xero merely delivers the FY28 aspiration of doubling FY25 revenue to roughly NZ\$4.2bn while restoring gross margin toward 86% as payments scale past its fixed cost base, the current enterprise value of roughly A\$11-13bn is being paid for approximately 17 times free cash flow on a business still growing 20%-plus organically — and the consensus twelve-month target near A\$129 across 14 analysts becomes reachable without heroic assumptions.

Bear case

Xero paid US\$2.5bn for a payments asset at roughly 16 times revenue, funded with equity issued at A\$176 against a share price now near A\$70, moved from net cash to NZ\$383m of net debt, diluted gross margin by 5.1 points, saw statutory profit fall 27%, and bought itself a two-year wait for that asset to stop losing money — while its closest listed comparable, BILL, trades at roughly US\$3-4bn and is being circled by private equity. In the meantime, growth quality is deteriorating beneath the headline: subscriber growth is 11% against ARPC growth of 23%, meaning price is doing more work than customers; New Zealand added 21,000 customers on a 650,000 base; churn has crept to 1.14%; LTV/CAC has fallen from 7.4 times at its peak to 5.6 times; and customer acquisition cost payback has lengthened to 15.2 months. Against that, Intuit is shipping AI agents into Xero's UK market faster than Xero is shipping XeroForce, and if those agents become free table stakes the ARPC engine stalls. The de-rating trigger from here is not a revenue miss — it is an H1 FY27 print in November showing ANZ churn responding to the July price rise, or a Melio goodwill impairment, or a remuneration reset at the August annual meeting that confirms management is repricing its own risk. At 58-68 times forward earnings there is no valuation floor from earnings; the floor is the 17 times free cash flow multiple, and that floor moves down if the payments mix keeps taking gross margin with it.

9

WHAT MOVES IT NEXT -- EARNINGS SIGNAL MAP

ELI5 — Why this section exists

A coverage universe generates more earnings dates than anyone can read properly. The purpose of this table is triage: for each name, identify the single data point the market is actually keyed on heading into the next disclosure, so research time goes to the report where the answer changes a portfolio decision rather than to the report that merely arrives first.

Event	Date	Days away	The one metric	Why it matters
Xero (XRO) — UK MTD first submission deadline	7 Aug 2026	~9 days	Any Xero disclosure or trade-press evidence of UK sole-trader and landlord conversion volume onto Xero ahead of the first Making Tax Digital for Income Tax submission	This is the only genuinely non-discretionary demand driver Xero has. Threshold step-downs to GBP30,000 (Apr 2027) and GBP20,000 (Apr 2028) mean the FY27-FY29 UK subscriber line is largely a policy variable, not a marketing variable. Evidence of conversion at scale would de-risk the growth algorithm's dependence on price rises.
Xero (XRO) — Annual meeting and remuneration vote	27 Aug 2026	~29 days	The size of the against-vote on the remuneration report, and specifically whether the CEO's package is restructured to reduce share-price dependency	Following a 48.74% against-vote in 2025 and the CEO's disposal of her entire ordinary holding in July 2026, this is the cleanest read on whether the board is repairing alignment or accommodating management. A reset with lower share-price linkage justifies a permanent governance discount; reset hurdles plus visible director buying would remove one of the two live bear legs.

Event	Date	Days away	The one metric	Why it matters
Xero (XRO) — H1 FY27 result	11-12 Nov 2026 (confirmed)	~105 days	Group gross margin trajectory versus the FY26 exit of 83.9%, read together with ANZ monthly recurring revenue churn against the 1.14% base after the 1 July 2026 Australian price rise	These two lines together resolve the central question. Gross margin tells you whether payments mix is dilutive-but-scaling or dilutive-and-structural; ANZ churn tells you whether the pricing power funding the whole growth algorithm survives contact with a saturated market. A stable-to-improving gross margin with flat ANZ churn validates the bull case on a 17x free cash flow multiple. Rising churn plus further margin compression converts the de-rating from sentiment to fundamentals. Note management has flagged a second-half-weighted FY27 adjusted EBITDA, so the H1 EBITDA line will look weak by design — do not misread it.
Intuit (INTU) — cross-read	Quarterly; next print late Aug 2026 (est.)	~30 days (est.)	QuickBooks Online international subscriber additions and any change in AI agent pricing (bundled versus paid)	Intuit is the swing factor in Xero's UK and US thesis. If Intuit continues to bundle AI agents free to drive share, it caps Xero's ability to price agentic features and the ARPC engine stalls. Intuit's own 55-61% de-rating also frames how much of Xero's fall is sector beta versus company-specific.

Prioritisation. The 27 August annual meeting is the near-term event, but it is a sentiment resolution, not a thesis resolution — it tells you what discount the stock deserves, not what the business is worth. The report to prepare for properly is the H1 FY27 result on 11-12 November. That single print carries the two lines the entire debate reduces to: gross margin against the 83.9% FY26 exit, and ANZ churn against 1.14% after the July price rise. Everything else — Melio revenue, US brand spend, XeroForce availability, AI usage counts — is commentary around those two numbers. Build the position work before November, not before August; the August meeting is more likely to create a mispricing than to resolve one.

A VERIFICATION LOG

Report: Xero Limited (ASX: XRO) initiation. Verification date: 29 July 2026. Companies checked: 8. Clean: 4. Flagged: 3. Estimated / derived: 6.

Item	Status	Note
XRO ticker and exchange	CLEAN	ASX: XRO confirmed. New Zealand-domiciled, HQ Wellington. Delisted from NZX; ASX primary. Quoted in AUD, reports in NZD.
Market capitalisation	FLAGGED — range shown	Aggregators diverge by date and currency: A\$11.14bn (stockanalysis, 28 Jul 2026), A\$13.10bn (same source cached 11 Jun 2026), A\$12.6bn (simplywall.st), US\$8.18bn (companiesmarketcap, Jul 2026). Range A\$11.1-13.1bn used throughout. Price ~A\$65-74 depending on date.
FY26 revenue NZ\$2,753m, +31%	CLEAN	Confirmed across company release, investor presentation coverage and multiple secondary sources. Aggregator figures near A\$2.29bn are AUD conversions of the same NZD number.
FY26 statutory NPAT	FLAGGED	NZ\$167.4m (down from NZ\$227.8m) confirmed by two sources. One press report stated NPAT 'fell 27% to NZ\$227m', which appears to conflate the prior-year figure. NZ\$167.4m used.
FY25 revenue ~NZ\$2,102m and FY25 ARPC ~NZ\$45.1	EST. — derived	Back-solved from disclosed FY26 growth rates (+31% revenue, +23% ARPC). Not separately sourced. Gross-profit-per-customer calculation in Section 2 is house-derived from these.
FY24 revenue NZ\$1,713.8m	CLEAN	Confirmed via FY24 Appendix 4E reporting (+22% year on year, audited by Ernst and Young).
Melio: US\$2.5bn upfront, US\$0.5bn contingent, closed 15 Oct 2025	CLEAN	Confirmed across company release, adviser announcement and trade press. Funding structure (A\$1.85bn placement at A\$176, ~A\$200m SPP, US\$360m scrip, US\$400m RCF, ~US\$600m cash) confirmed. Melio pre-deal revenue US\$153m FY to Mar 2025.

Item	Status	Note
FY26 operating KPIs (customers, ARPC, churn, LTV, regional net adds)	CLEAN	Sourced to FY26 results coverage. Country-level net additions and churn figures (1.14% MRR, 0.81% cohorted) consistent across sources.
Cloud infrastructure provider (AWS)	EST.	Xero has historically run on Amazon Web Services following migration off owned data centres, but current provider mix and infrastructure cost are not disclosed in results. Treat the hyperscaler dependency as directionally correct, not confirmed for FY26.
Market share percentages	FLAGGED — directional only	Third-party technographic estimates vary enormously by methodology (QuickBooks quoted anywhere from 33.8% to 67.5% of 'accounting'; Xero from 6.2% to 8.9%). Customer counts by country, which Xero discloses, are the reliable measure and are used in preference.
Intuit (INTU) market cap and multiple	CLEAN	~US\$83.1bn (macrotrends and public.com, 27 Jul 2026); other sources US\$85.6-88.6bn. TTM revenue ~US\$20.9bn. Trailing P/E ~23x. Down ~55-61% over twelve months across sources.
Sage Group market cap	EST. — stale	GBP10.99bn as at 12 Nov 2025 (tipranks). No July 2026 figure located in this review. FY25 revenue GBP2,513m and FY26 organic guidance of 9%-plus are confirmed.
BILL Holdings status	CLEAN	Market cap ~US\$3.43bn (14 May 2026) to ~US\$4.2bn (Feb 2026). Hellman and Friedman buyout discussions reported Feb 2026 by Bloomberg; Starboard (8.5%), Elliott (5%-plus) and Barington positions confirmed. No completed transaction identified as at report date.
MYOB revenue	UNVERIFIABLE	Private since the 2019 KKR take-private; no reliable current revenue figure available. Shown as not disclosed rather than estimated.
CEO share sales and option strikes	CLEAN	29,608 shares at ~A\$74 on 7 Jul 2026 (disclosed 13 Jul); 70,737 shares 26 May-2 Jun 2026 including 30,691 sell-to-cover. Post-sale holding: nil ordinary, 171,381 RSUs, 1,038,308 options (463,308 at A\$72.39; 575,000 at A\$171.11). Confirmed across three independent reports of the ASX filings.
2025 remuneration vote 48.74% against	CLEAN	Reported by Startup Daily and corroborated. AGM date 27 Aug 2026 confirmed via two sources.
Next earnings date 11-12 Nov 2026	CLEAN	stockanalysis lists 11 Nov 2026 as confirmed; TradingView lists 12 Nov 2026. Both shown.
Intuit next earnings late Aug 2026	EST.	Estimated from Intuit's historical fiscal-Q4 reporting cadence (July year-end, late-August release). Not confirmed against Intuit investor relations in this review.
Analyst consensus	FLAGGED — wide dispersion	14 analysts, consensus 'Buy'/'Strong Buy', average target ~A\$129. But RBC cut to Sector Perform with an A\$85 target (from A\$130), while Macquarie carried ~A\$234 earlier in 2026. Dispersion this wide means the consensus number carries little information.

Corrections applied: FY26 NPAT corrected to NZ\$167.4m against one source stating NZ\$227m. Market cap presented as a range rather than a point figure given four-source dispersion. Market share figures demoted to directional and subordinated to disclosed customer counts. Coverage limits: this review did not obtain the FY26 annual report or investor presentation directly; figures are sourced from the company release as reproduced in secondary coverage plus aggregator data. Segment-level gross margin, FY24/FY25 free cash flow and FY24 profitability were not located and are shown as not disclosed rather than estimated.

B

ACRONYM GLOSSARY

Acronym	Full name
AMRR	Annualised Monthly Recurring Revenue
API	Application Programming Interface
ARPC / ARPU	Average Revenue Per Customer / Average Revenue Per User
ASX	Australian Securities Exchange
ATO	Australian Taxation Office

Acronym	Full name
AWS	Amazon Web Services
CAC	Customer Acquisition Cost
CDR	Consumer Data Right (Australian open banking regime)
EBITDA	Earnings Before Interest, Tax, Depreciation and Amortisation
FCF	Free Cash Flow
GL	General Ledger
GST / VAT	Goods and Services Tax / Value Added Tax
HMRC	HM Revenue and Customs (United Kingdom tax authority)
IRD	Inland Revenue Department (New Zealand tax authority)
JAX	Just Ask Xero (Xero's agentic AI platform)
KPI	Key Performance Indicator
LLM	Large Language Model
LTV	Lifetime Value
MRR	Monthly Recurring Revenue
MTD	Making Tax Digital (UK compliance regime)
MTL	Money Transmitter Licence (US state-level)
NPAT / NPATA	Net Profit After Tax / Net Profit After Tax and Amortisation
OAuth	Open Authorisation (token-based delegated access standard)
PSD2	Second Payment Services Directive (EU/UK open banking)
RCF	Revolving Credit Facility
RSU	Restricted Stock Unit
Rule of 40	Revenue growth percentage plus free cash flow margin percentage
RTI	Real Time Information (UK payroll filing)
SaaS	Software as a Service
SMB / SME	Small and Medium Business / Small and Medium Enterprise
SPP	Share Purchase Plan
STI / LTI / LTE	Short-Term Incentive / Long-Term Incentive / Long-Term Equity
STP	Single Touch Payroll (Australian payroll filing)
TAM	Total Addressable Market
TTM	Trailing Twelve Months

C DISCLAIMER

This document is for internal research purposes only and does not constitute investment advice, a recommendation, or an offer to buy or sell any security. It contains no price target and no buy or sell recommendation by design. All figures should be independently verified against primary sources — in particular the Xero FY26 annual report, Appendix 4E and investor presentation — before being relied upon for any portfolio decision. Market data is time-sensitive and was compiled on 29 July 2026. Estimated and derived figures are flagged in the Verification Log.